(5) Be quick to take losses, reluctant to take profits.
(6) Never put more than 25% of a given fund into securities about which detailed information is not readily and regularly available.
(7) Avoid "inside information" as you would the plague.
(8) Seek facts diligently, advice never.
(9) Ignore mechanical formulas for valuing securities.
(10) When stocks are high, money rates rising, business prosperous, at least half a given fund should be placed in short-term bonds.
(11) Borrow money sparingly and only when stocks are low, money rates low or falling, and business depressed.
(12) Set aside a moderate proportion of available funds for the purchase of long-term options on stocks of promising companies whenever available.

Ignore mechanical formulas for valuing securities.

Minimizing Chance

The first rule given suggests a minimum standard of diversification. It is just as important in speculation as in investment that a given fund be divided among several baskets. Diversification accomplishes three important results for the speculator. It minimizes the factor of chance, allows for an occasional error of judgment and minimizes the importance of the unknown factor. As in every other field of human activity, chance plays its part in speculation. An earthquake or some other unforeseeable "act of God" may make a mock-